THE END OF BRETTON WOODS AND DEREGULATION

ALFANI-COLLI CHAPTER 16

Economic history

Ay 2025/2026

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- The end of Bretton Woods
- The 1970s: a pivot of change
  - The oil crisis
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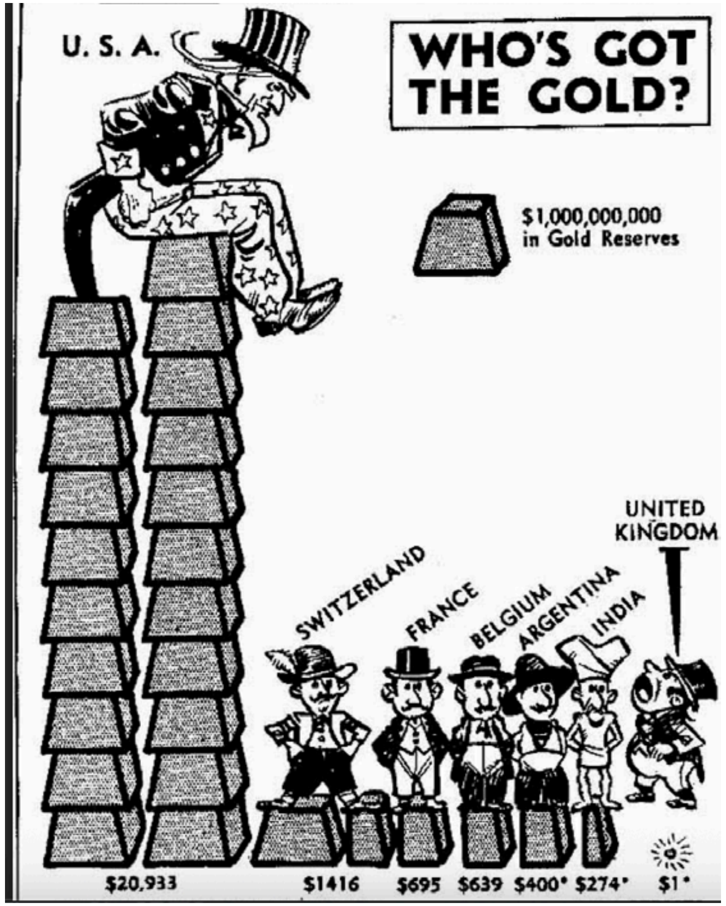
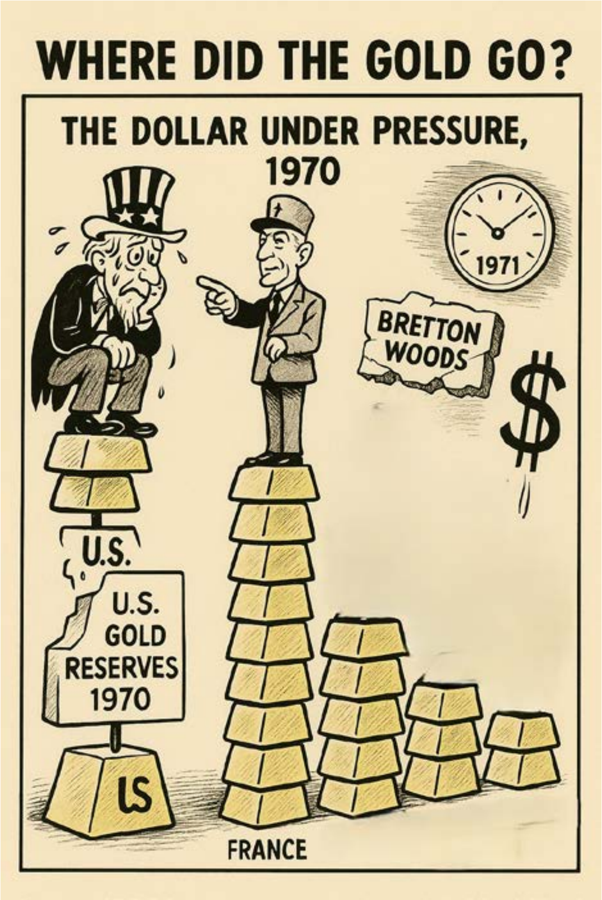




THE BRETTON WOODS SYSTEM

In the post-WWII period, the Bretton Woods monetary system had guaranteed:

- economic growth: the period of economic miracles or the ‘Golden Age’
- low unemployment rate: average unemployment in major OECD countries is 3%
- monetary stability
- price stability
- relatively free international trade
- increase in international investment

- Bretton Woods was also not just a monetary system but part of a larger political project whose pivot was the USA.

THE BRETTON WOODS SYSTEM

At the time the Bretton Woods agreements were signed, observers held a major belief:

→ the **US** would always economically **outperform** other countries

→their **trade balance** would always be in **surplus**.

THE BRETTON WOODS SYSTEM

- In the 1950s, however, **Europe** and **Japan** began to recover economically faster than expected and their trade balances improved.
- The USA trade balance started to deteriorate
- Europe became an attractive market for American investment and this caused an **outflow of dollars** from the US to Europe.

THE BRETTON WOODS SYSTEM

- After World War II, the dollar was both a **reserve** and an **international currency**.
- It became a source of **unlimited liquidity**
  - for international aid, for trade flows, for foreign investment, for military spending.

- This mechanism had already been challenged by Keynes, who believed it would trigger a power logic capable of irreparably unbalancing economic relations.

- The US was in the position of:

→ **"buying without spending, lending without giving up, giving without losing"**

- Bretton Woods was a fragile and strong system because it allowed a deficit without tears (Jacques Reuff).

THE BRETTON WOODS SYSTEM: A STABLE SYSTEM?

- As the dollar established itself as the international currency, the system began to show its first problems.

- **TRIFFIN DILEMMA 1960:**
  - To supply liquidity, the U.S. must run balance of payment deficits.
  - The larger the deficits, the less credible the system become: the value of the dollar decreases and the convertibility at 35$ per once of gold is not credible anymore

- The more dollars the world's central banks **stockpiled** as a store of value, the more the US had to **print money**, and the higher the domestic **inflation**.

Triffin's Dilemma

Testifying before the U.S. Congress in 1960, economist Robert Triffin exposed a fundamental problem in the international monetary system.

If the United States stopped running balance of payments deficits, the international community would lose its largest source of additions to reserves. The resulting shortage of liquidity could pull the world economy into a contractionary spiral, leading to instability.

credits

If U.S. deficits continued, a steady stream of dollars would continue to fuel world economic growth. However, excessive U.S. deficits (dollar glut) would erode confidence in the value of the U.S. dollar. Without confidence in the dollar, it would no longer be accepted as the world's reserve currency. The fixed exchange rate system could break down, leading to instability.

Triffin's Solution

Triffin proposed the creation of new reserve units. These units would not depend on gold or currencies, but would add to the world's total liquidity. Creating such a new reserve would allow the United States to reduce its balance of payments deficits, while still allowing for global economic expansion.

"A fundamental reform of the international monetary system has long been overdue. Its necessity and urgency are further highlighted today by the imminent threat to the once mighty U.S. dollar."

Robert Triffin
November 1960

DOLLARS VS GOLD

The Gold Pool

As confidence in the $35-per-ounce gold peg weakened in the early 1960s, major Western central banks created the London Gold Pool in 1961.

- Coordinated gold sales on the London market to keep the price fixed at $35.
- By pooling their reserves, members aimed to defend the gold–dollar standard and prevent speculative pressures from driving gold above the official parity.
- The Gold Pool ultimately collapsed in 1968, when rising dollar imbalances made the fixed price impossible to maintain.

SDRs:

As the weaknesses of the gold–dollar system became obvious, the IMF created Special Drawing Rights (SDRs) in 1969.

- SDRs were a reserve asset based on a basket of major currencies.
- Their purpose was to give countries an additional source of international liquidity that did not depend on the U.S. running deficits.
- By providing this new asset, the IMF hoped to ease pressure on the dollar and reduce the incentives for countries to convert their dollar holdings into American gold.

INFLATION TO EU

- The U.S. spent dollars abroad to finance:
  - The Marshall Plan
  - Military bases
  - Foreign investment
  - imports
  - The Vietnam War
  - Domestic expansion programs –> The Great Society

Each dollar sent abroad became a **claim on U.S. gold**

To mantain fixed echage rates had to print more money.

POSSIBLE ACTIONS (NOT TAKEN)

- Decrease Public Spending.
- Increasing taxes in order to limit demand (did not do that until mid-1968).
- Increase interest rate in the private, non-banking sector.
  - to stimulate savings instead of consumption.

- **Inflation continued to rise** and affected stronger non protected workers categories.
  - Young people and women
- The most offset by inflation are the ones at the bottom of the distribution and poor families.
- Wealthy people derive most of their income from profits that adjust weekly to inflation (having stocks, land, commodities).

Strikes and Rebellions spread everywhere in the U.S. and Europe

MEANTIME IN THE WORLD…

The Baby Boomer Generation and the exposure to mass media

- Civil Rights
    - Nuclear Attacks
        - Women Rights
            - War in Vietnam
                - Social Movements
                    - Peace Movements
                        - Anti Capitalism Movements


LOVE
NOT
WAR


Welcome to the
JEANNETTE RANKIN PEACE PARADE
END
THE WAR IN VIETNAM AND
SOCIAL CRISIS AT HOME!

THIS IS THE END, MY GOLDEN FRIEND, THE END

In August 1971 Nixon had two alternatives:

1) stick to the pledge of **dollar convertibility:** restrictive monetary policy, spending cuts, limit wage growth

2) favour national objectives

He chose the second option and declared the **inconvertibility of the dollar** on 15 August 1971.

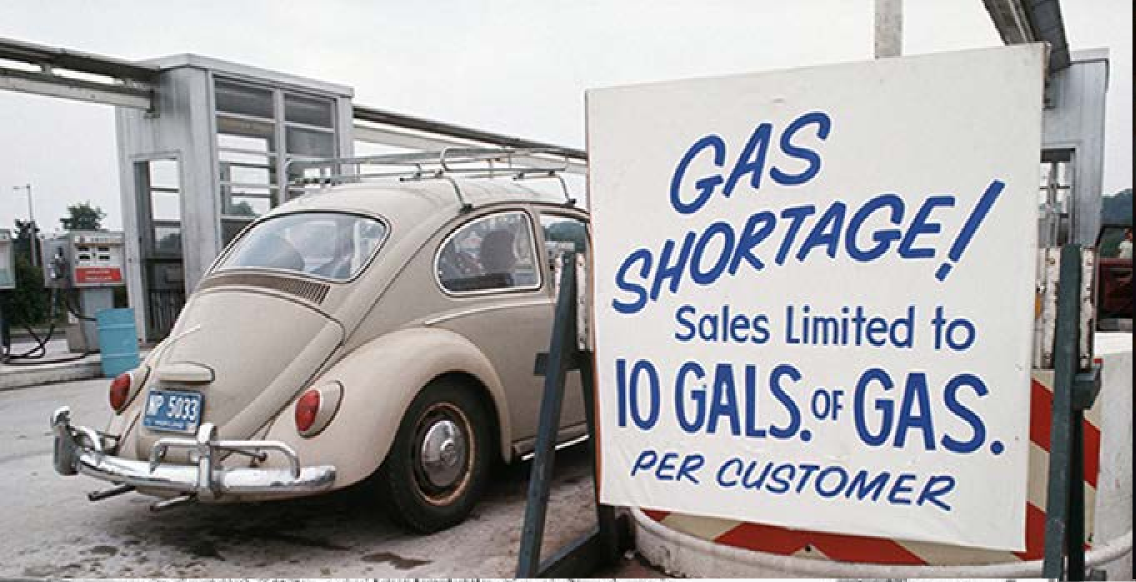
Re-elected in 1972, the US president did not hesitate and took a series of measures:

- **devaluation** of the dollar against gold (- 10%)
- increased tariff **protection** (+ 10%)
- **price and wage controls**

THIS IS THE END, MY GOLDEN FRIEND, THE END

- The collapse of Bretton Woods removed the restrictions on **exchange rate fluctuations** between currencies.
- Governments were now free to stimulate the economies of their countries through expansive monetary policies.
  - In the US the **money supply** grew by around 40% from 1971 to 1973, in Britain by 70% in 1972-1973.
  - Between 1970 and 1973 industrial production in the major western economies grew from 15% to 25%.
- **Demand for raw materials** grew exponentially and consequently so did **prices** (inflation increased) in the US, food prices rose by 20% in 1973 alone.

- These inflationary pressures were compounded by **the oil crises**: the first in 1973 and the second wave in 1979-1980.




Energy Crisis!!!

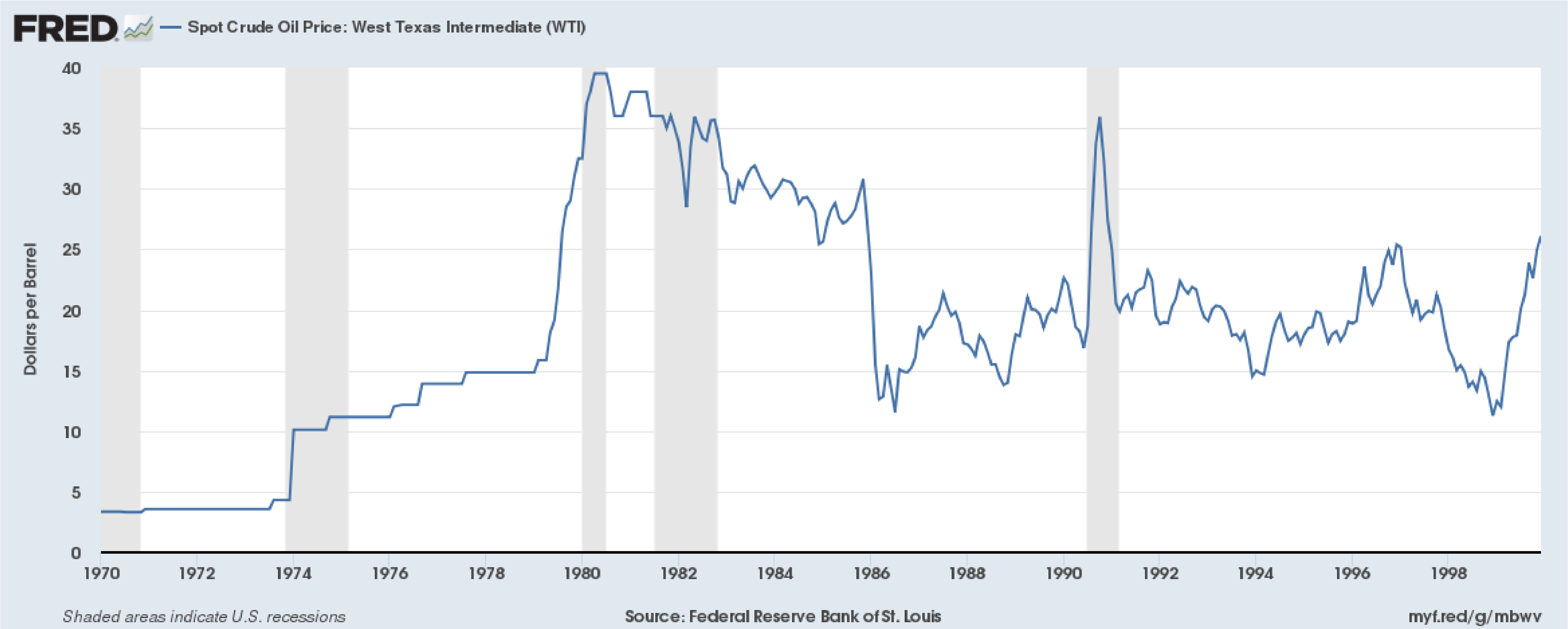
1970S ENERGY CRISIS

- The 1970s were characterised by **two oil crises**:
  - **1973**: in reaction to the Yom Kippur War, the Arab **OPEC** countries imposed an embargo on oil sales to the US and Israel's allies ⟶ the price of oil tripled in the space of a few months
  - **1979**: the Iranian revolution and the ensuing Iran-Iraq war caused a sharp drop in oil production and a sharp increase in the price

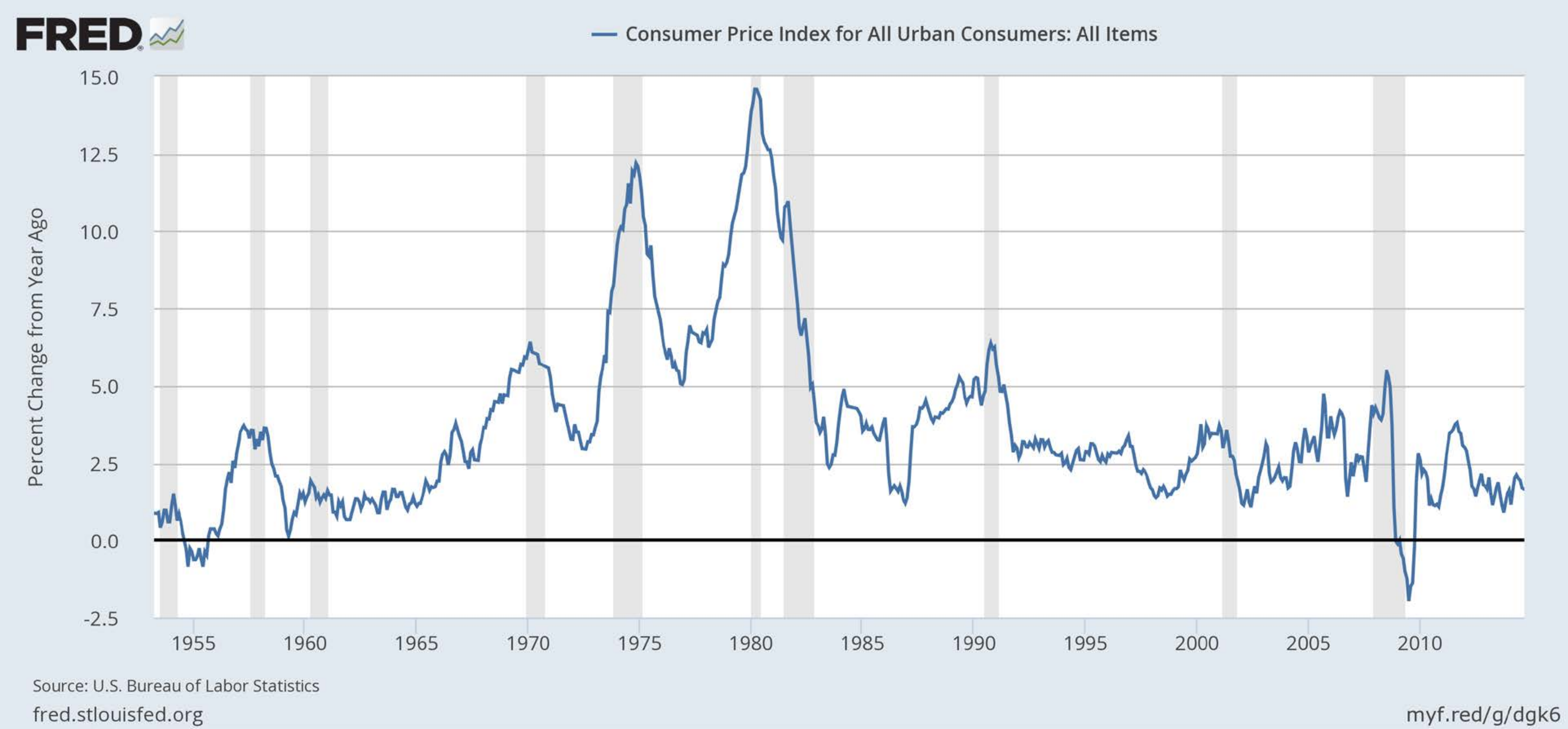
- The drastic effect of higher oil prices was **an inflationary spiral**: in 1974 consumer prices rose by 12% in the US, 14% in France, 16% in the UK, 23% in Japan.

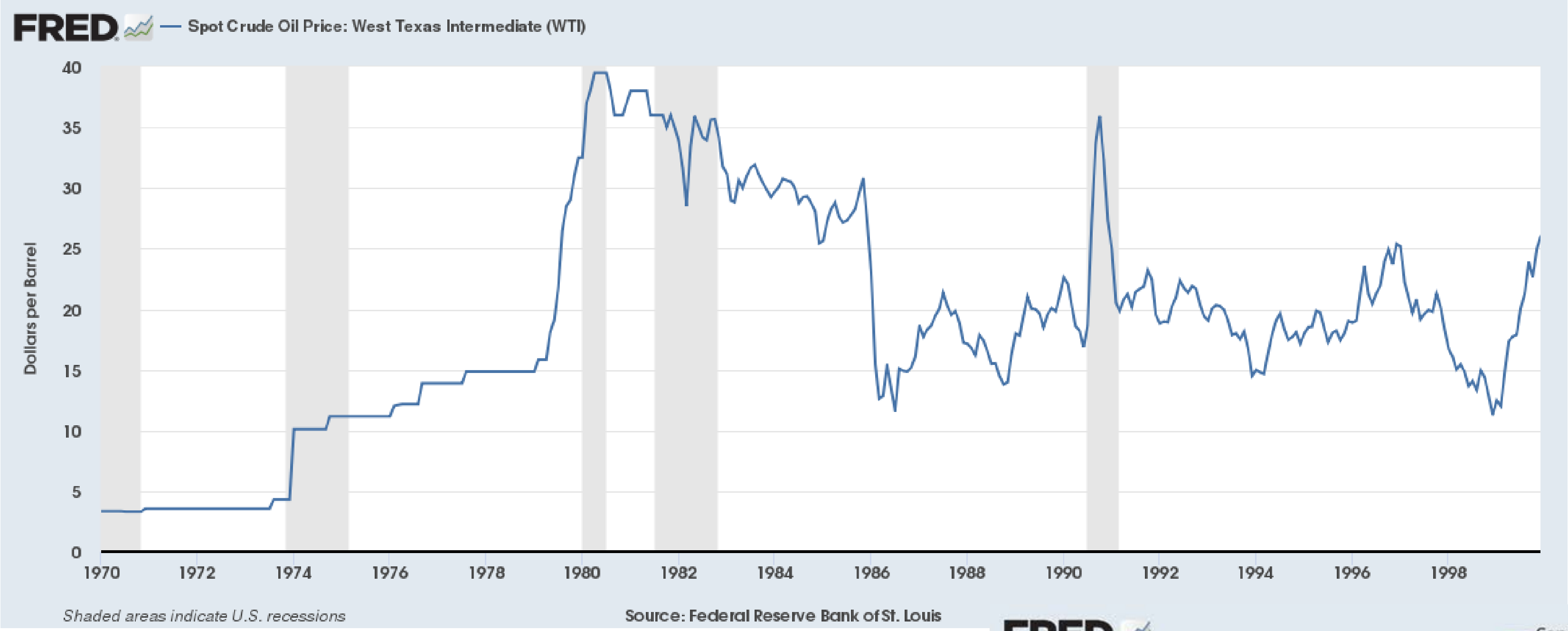
- In addition to **inflation**, economies were hit by **unemployment and stagnation**. This combination came to be known as **stagflation**: a phenomenon that had never occurred before.

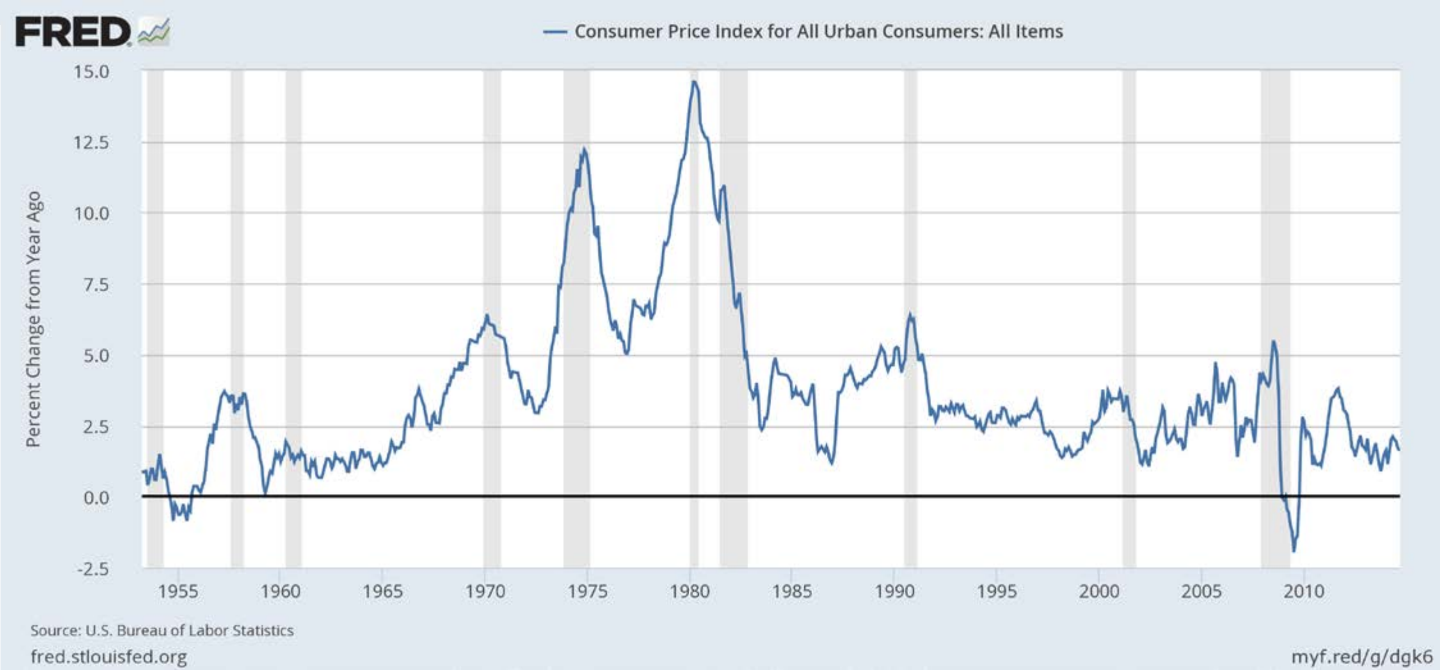
Oil price in the US, 1970-2000



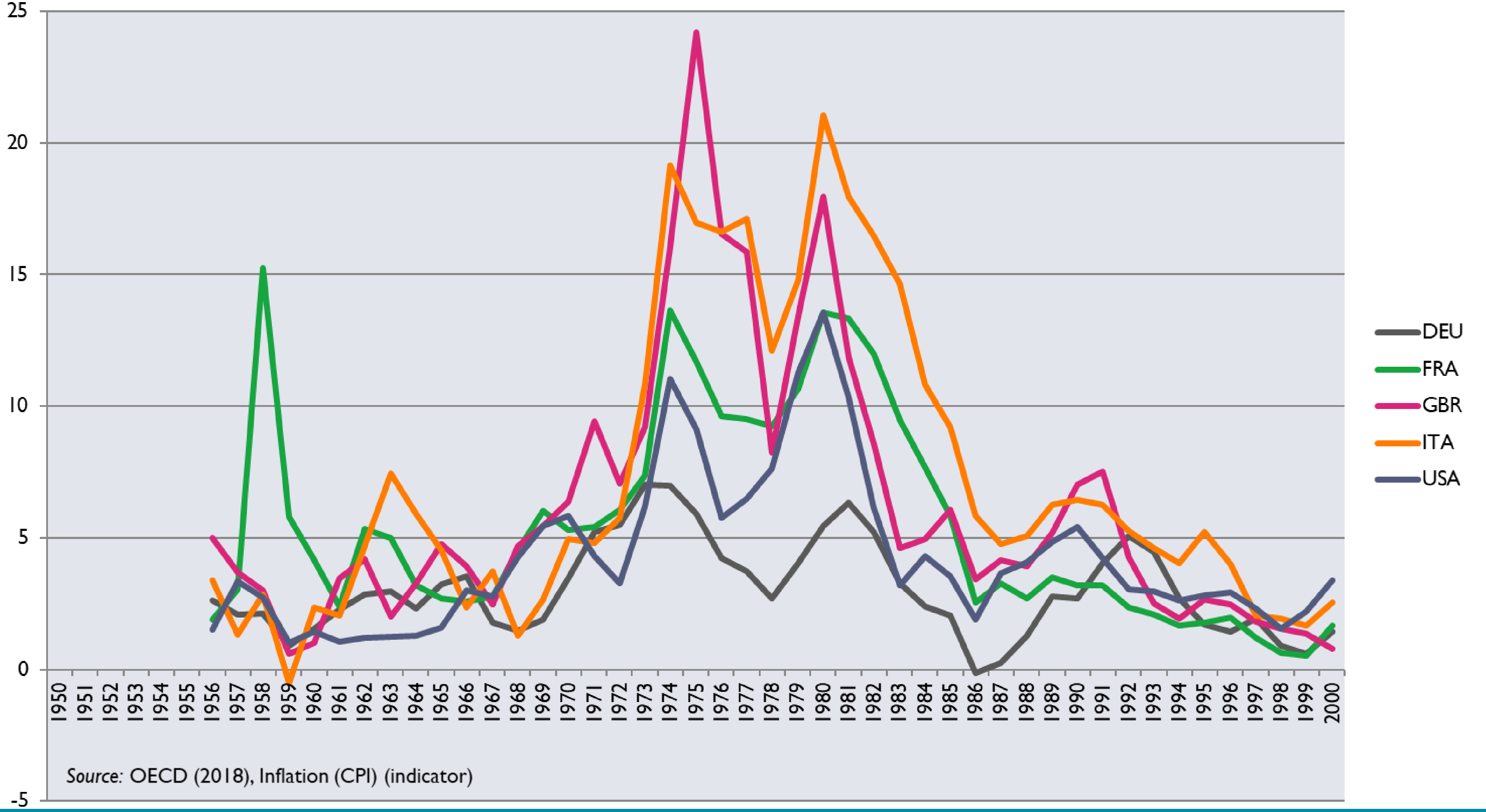
Inflation in the US, 1953-2015




FRED
— Spot Crude Oil Price: West Texas Intermediate (WTI)
Dollars per Barrel
40
35
30
25
20
15
10
5
0
1970
1972
1974
1976
1978
1980
1982
1984
1986
1988
1990
1992
1994
1996
1998
Shaded areas indicate U.S. recessions
Source: Federal Reserve Bank of St. Louis


FRED
— Consumer Price Index for All Urban Consumers: All Items
Percent Change from Year Ago
15.0
12.5
10.0
7.5
5.0
2.5
0.0
-2.5
1955
1960
1965
1970
1975
1980
1985
1990
1995
2000
2005
2010
Source: U.S. Bureau of Labor Statistics
fred.stlouisfed.org
myf.red/g/dgk6

Inflation in selected OECD countries, 1950-2000



THE 1970S: A PIVOT OF CHANGE

- Only a quarter of the consumer price increases were a direct consequence of the oil crisis: economic and monetary policy choices also played an important role.

- In the developed economies, the reaction of governments was initially Keynesian: **expansive monetary policy + expansive fiscal policy**.

- The fiscal stimulus was very generous:
    - increased **public sector employment**
    - **industrial bailouts**
    - increased **welfare spending**

THE 1970S: A PIVOT OF CHANGE

- Overall, in the **developed economies** Keynesian responses to the crisis did not yield satisfactory results.

- This paved the way for a **neo-liberal reaction** that would profoundly reshape the role of government in the economy in the late 1970s and early 1980s.

- In countries that were trying to get out of underdevelopment, the most common response was to **resort to foreign borrowing**:
    - because of high inflation, real interest rates were low and international banks were willing to lend.

THE 1970S: A PIVOT OF CHANGE

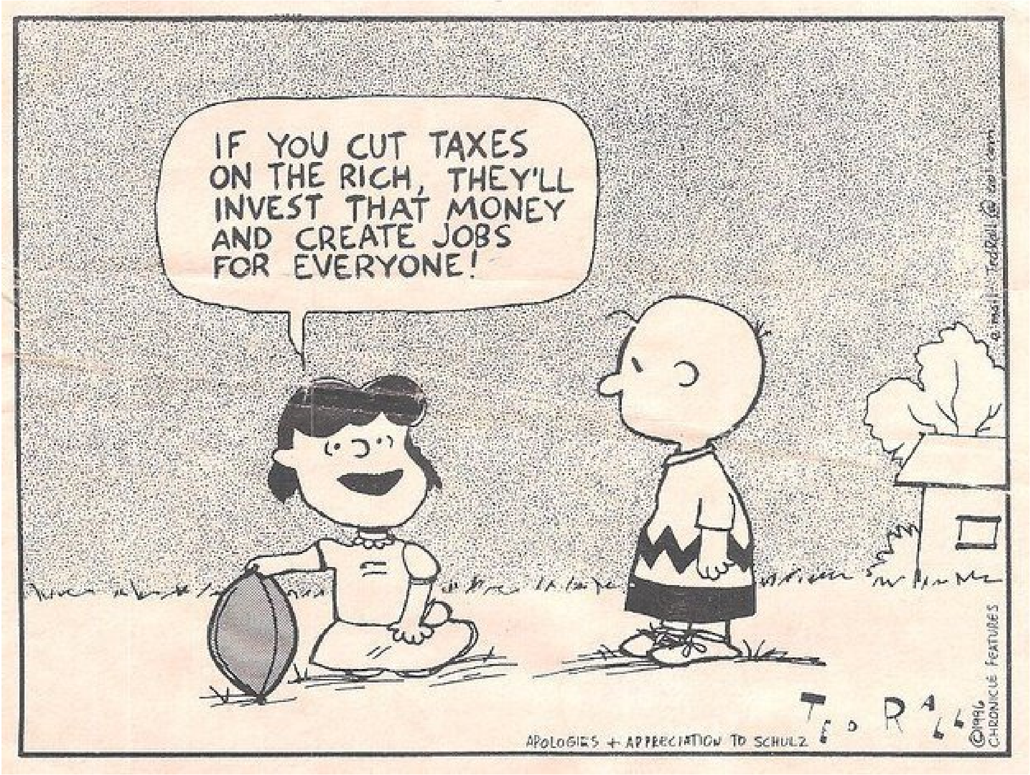
- In terms of international finance, a triangular circulation was established in the 1970s:
    - oil-exporting countries deposit the proceeds of oil sales - petrodollars - with large international banks
    - big international banks lend to late developing countries (LDCs)
    - LDCs contract borrows to pay both for imports and the heavy oil bills

- By the end of the 1970s the dollar-denominated foreign debt amounted to hundreds of billions.

CRISIS OF INTERNATIONAL DEBT

- Since foreign debt was indexed to the dollar, every one-percentage-point increase in U.S. interest rates
    - cost Third World countries four or five billion dollars annually.
    - Between 1980 and 1983, 34 developing countries were forced to renegotiate their debt.
- The surge in debt and the increased burdens related to oil prices and the general rise in prices led to the abandonment of import substitution policies previously adopted in many countries...
- ...under the pressure of the IMF, which tied assistance to reforms in line with the "Washington consensus”

THE 1970S: A PIVOT OF CHANGE



- As we said, the ineffectiveness of Keynesian policies paved the way for a neo-liberal that would profoundly reshape the role of the state in the economy.

- **Milton Friedman**’s critique of Keynesianism:
  - state intervention distorts the behaviour of economic actors
  - state intervention causes inflationary spirals

THE 1970S: A PIVOT OF CHANGE

- A new economic paradigm begins to assert itself, linked to the centrality of the market and money, and the reduction of the role of the state. This is referred to as **neo-liberalism**.

    - **Monetarism** → management and planning of the money supply in an anti-inflationary direction.

    - **Supply-side economics** → the proper functioning of the market is achieved by acting on the supply, particularly through lower taxation for middle to high-income brackets.

FROM CARTER TO REAGAN

- Beginning in 1979 - during the Carter presidency - in order to crush high US inflation the new Fed chairman Paul Volcker adopted a restrictive monetary policy that lasted almost three years:
- the Fed raised rates from 10% to 15% and then to 20%, keeping them at these levels until at least the end of 1982.

- From 1980 to 1982, US economic performance is dominated by the effects of **monetary tightening**: interest rates (nominal and real) rise caused:
  - Overevaluation of the $
  - Recession in the economy.

- **Volcker** achieved a historic success **limiting inflation expansion** (even if the effect were not long-lasting) but the **US economy went into recession and unemployment rose**.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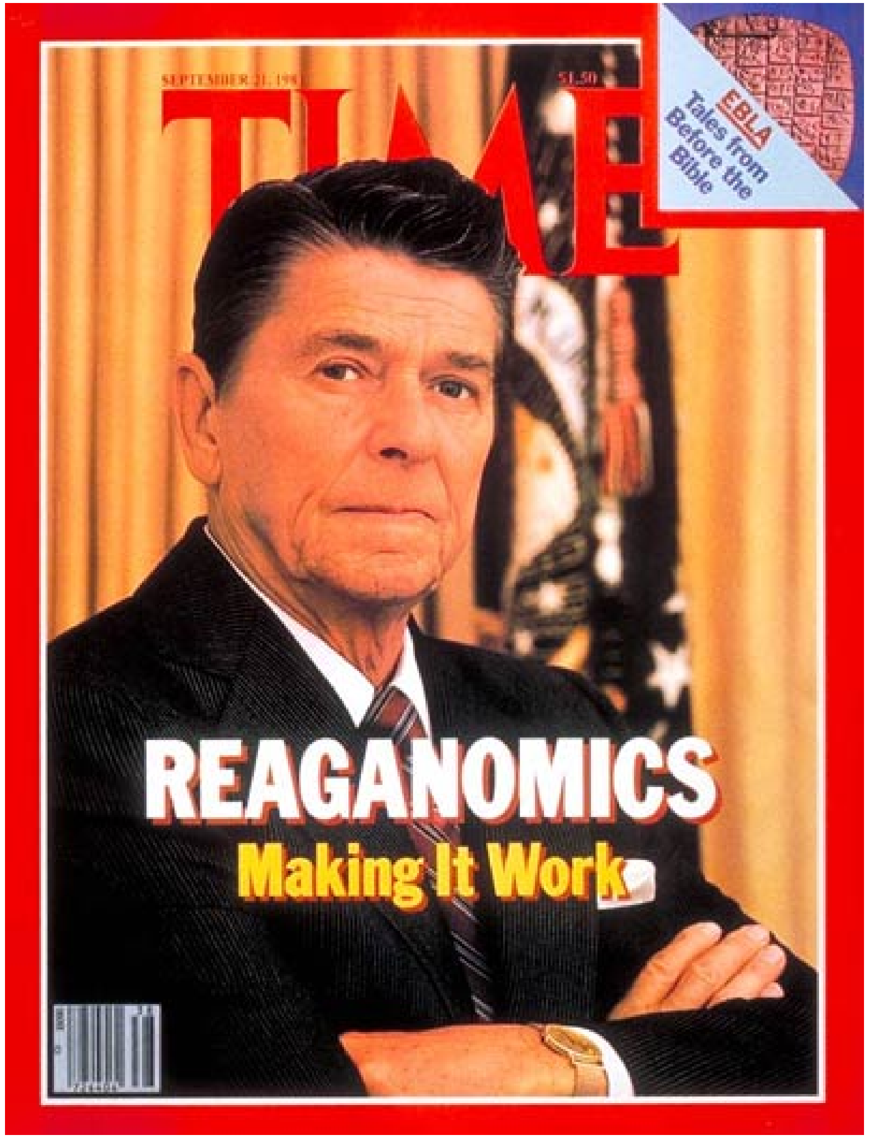
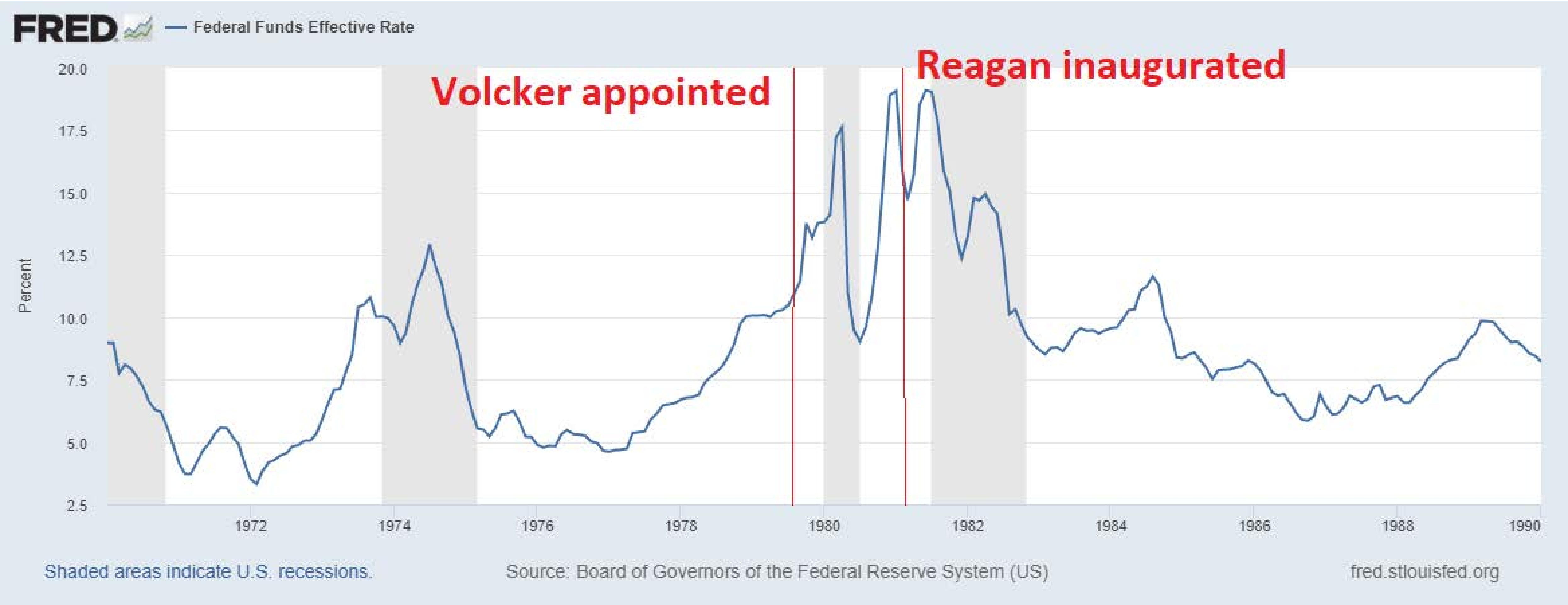

TIME
EBLA
Tales from Before the Bible
REAGANOMICS
Making It Work

Inflation in the US, 1979-1990



REAGAN AND THE *REAGANOMICS*

- Starting in 1981 (with the Economic Recovery Act), the new administration of President Ronald Reagan opted for a massive use of **fiscal policy** to help the US out of the recession caused by Volcker's anti-inflationary policies.
- **Expansionary fiscal policy**:
    - **tax cuts** for the upper and middle class
    - **reduced social spending**, increased military spending
    - **Deregulation**
- Signs of confidence from Reagan policies:
    - **Appreciation of the dollar** (but with negative consequences on the trade balance)
    - **Decline in unemployment** (late 1980s due to a structural change in the economy)
    - **Control of inflation**

THE *REAGANOMICS* BEYOND THE US

- The assertion of the new economic paradigm pushes in the opposite direction to the previous social compromise based on public spending and political regulation of the economy:
  - the new watchwords **are less taxes**, **less public spending**, and **less regulation**.

- During the 1980s, deregulation affected most industrial and service sectors in the United States.
- Most **European public enterprises** (including banks), now perceived as a source of inefficiency, waste and corruption, are **privatised** during the 1990s.
- In the late 1990s, industrial economies are freed from state controls and constraints as they have not been since the 1930s

→ extraordinary growth in the size of private enterprises.

THE *REAGANOMICS* BEYOND THE US

- The process began in Great Britain in the Thatcher years and then involved
  - France and Italy in terms of value.
  - Privatisation ranks first in Great Britain and second in Italy.

- The collapse of the Soviet Union in 1991 also inaugurated an unprecedented **privatisation process in the East**:
  - it was part of the transition from a centrally planned state economy to a market economy.

- Narrative and ideology of privatisation processes:
  - an inseparable link is postulated between **economic efficiency and private ownership**
  - privatisation as an opportunity to promote **greater efficiency and transparency in financial markets**

EUROPE

With the fall of the Berlin Wall (1989) and the final dissolution of the Soviet Union (1991), the United States emerged as the definitive political and military **victor in the Cold War**.

However, a new entity was emerging as one of the major players in the field: **Europe**.

The long-awaited German unification made it possible to **complete the process of European unification** that European politicians had been building for at least two generations.